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AXYS
INVESTMENT BANK

Weekly Global Markets Note

AIB-AXYS Weekly Global Markets Note

• Global Markets Commentary

- Global markets endured a volatile week, as the Middle East conflict re-emerged as a source of investor jitters. This followed reports from US President Trump that the ceasefire between the US and Iran was over, sending jitters across equity and bond markets, with yields climbing in response. Energy prices, meanwhile, jumped sharply, with WTI and Brent crude closing the week up 7.2% and 5.4% respectively, on the back of heightened concern over global energy supplies. However, investor concerns eased later in the week following reports that the US and Iran were holding peace talks; markets responded positively, with bond yields retreating and equities pushing higher towards the close of the week. *(The Kenyan equities market mirrored this broader pattern.)*
- Elsewhere, markets kept a keen eye on Samsung Electronics' earnings. The chipmaker recorded 19.0% y/y growth in net earnings, beating estimates, but failed to impress investors, who have set an increasingly high bar for chipmaker names. This triggered profit-taking among chip and memory stocks across both Asian and American markets, with Micron and SanDisk shares sinking 4.7% and 7.3% respectively. Still within the tech sector, SK Hynix, a key chipmaker, debuted on US markets on Friday following an oversubscribed IPO that raised approximately USD 26.5bn, with shares closing the session at USD 168.00, up from the USD 149.00 offer price.
- US Q2'26 earnings season officially kicks off this week. Corporates are expected to sustain strong earnings growth, which has remained the key driver of global equity markets. The tech sector will be a particular focus, as investors assess whether the sector, which has been riding the AI boom, can maintain its resilient earnings growth. Key tech names have come under investor scrutiny following robust capex spend, which has raised concerns over declining free cash flow and whether the scale of that capex will ultimately pay off.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,575	7,483	▲ 1.2%
Nasdaq 100	29,825	29,329	▲ 1.7%
Dow Jones	52,637	52,900	▼ (0.5%)
FTSE 100 (FTSE)	10,497	10,679	▼ (1.7%)
DAX	25,067	25,779	▼ (2.8%)
Nikkei 225	68,558	69,744	▼ (1.7%)
Shanghai Composite	3,996	4,044	▼ (1.2%)
Median			**▼ (1.2%)**

Source: Investing.com AIB AXYS Research

- Select global indices closed at a median decline of 1.2% w/w, compared to a median return of 1.9% recorded the previous week. In the US, it was more of a mixed bag. The S&P 500 and Nasdaq rebounded toward the close of the week after a weak start, ending with weekly gains of 1.2% and 1.7%, respectively. However, the Dow closed the week lower, shedding 0.5%. Despite a late-week rally, it was not enough to secure a weekly gain.
- Across Europe, markets ended the week on a bearish note. The FTSE 100 and Germany's DAX declined by 1.7% and 2.8%, respectively. Heightened tensions in the Middle East weighed on investor sentiment. Additionally, weakness in the technology sector remained a drag on performance.
- In Asia, the Nikkei 225 and Shanghai Composite tracked the broader market movement, losing 1.7% and 1.2% w/w, respectively. Despite the weekly losses, the Nikkei rebounded toward the close of the week as sentiment improved following positive developments toward resolving the Middle East conflict.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.56%	4.49%	▲ 7.2bps
UK 10 Yr Gilt	4.88%	4.79%	▲ 8.9bps
Germany 10 Yr Bund	3.07%	2.94%	▲ 13.1bps
Japan 10 Year Bond	2.76%	2.78%	▼ (1.6bps)

- Out of the four markets we track, three recorded higher yields on the 10-year benchmark bond, while the Japanese market bucked the broader trend. In the US, yields on the 10-year note rose 7.2 bps on a weekly basis to settle at 4.56% on Friday. Following reports of a collapse in the US-Iran ceasefire at the start of the week, yields climbed before easing towards the week's close on reports that talks between the two sides had resumed and were progressing positively. This week, investor focus turns to June inflation data, which is expected to provide guidance ahead of the next Fed meeting.
- Across the Atlantic, yields on the UK 10-year Gilt rose 8.9 bps to end the week at 4.88%. The yield trended higher during the week amid renewed geopolitical tensions in the Middle East, before cooling off towards the week's close. Elsewhere, Germany's 10-year Bund settled at 3.07% on Friday, a 13.1 bps w/w increase, broadly tracking the wider market movement.
- In Asia, the Japan 10-year bond was relatively stable, with yields easing slightly by 1.6 bps w/w to 2.76%. This performance can be linked to the renewed campaign by Japanese authorities encouraging the country's pension funds to invest in the local market.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.6952	0.6841	▲ 162bps
USD/JPY	161.700	161.380	▲ 20bps
GBP/USD	1.341	1.335	▲ 41bps
EUR/USD	1.141	1.144	▼ (20bps)
US Dollar Index	100.76	100.62	▲ 14bps

Source: Investing.com AIB AXYS Research

- The greenback closed out yet another week on a winning note, registering modest gains against a basket of currencies. This is evidenced by the US Dollar Index (DXY), which gained 14 bps to close the week at 100.76. The dollar has been buoyed by a hawkish Fed stance, though prospects of further monetary tightening have been trimmed following softer-than-expected jobs data. Dollar demand was further lifted by uncertainty that gripped markets last week, following reports that the US-Iran ceasefire had collapsed, with investor demand for the dollar heightening amid a broader flight to safety. However, the dollar pared its gains towards the end of the week following reports of renewed talks between Iran and the US.
- Elsewhere, the Japanese Yen depreciated by 20 bps over the week, as markets continued to digest developments around the Japanese government's encouragement of domestic pension funds to increase allocations to local markets.

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